Q15

Disclosure will reassure the shareholders that the investment is in a viable product that can be expected to sell well. [1]

If U is evasive then the shareholders may be concerned that their money is being spent recklessly on a product that is unlikely to succeed. [1]

Informing the shareholders will also create a sense of transparency and so will help to create trust. [1]

There is a drawback to disclosure because U's competitors will be forewarned that a new product is under development. [1]

Informing the shareholders could lead to the competition being ready to launch a rival product sooner than would otherwise be possible. [1]

[Maximum 5]

[Total 5]

Commentary:
The answers to this question were a little vague. *Many candidates stated that not giving this information was against the accounting standards and Corporate Governance requirements, this is incorrect.* *Many candidates went on to make good points about transparency which was good to see.*

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